

Answer Key - Test

Exercise 1 Let H : "The player wins 10 DA" and T : "the player loses 10 DA"

We have: $p = \mathbb{P}(H) = \frac{3}{4}$ and $\mathbb{P}(T) = \frac{1}{4}$

We use the inverse transform method for a discrete r.v. to simulate the game

Algorithm

1. For $i = 1, n$ and $X_0 = 0$

2. Generate $U \sim \mathcal{U}[0, 1]$

3. If $u \leq p$, then $X = 10$

else $X = -10$

(1,5)

4. $X = X_0 + X$

Application: For $p = 0.75$ and $p = 0.5$

u_i	$p = 0.75$	Win	$p = 0.5$	Win
0.404190	H	+10	H	+10
0.735378	H	+10	T	-10
0.369251	H	+10	H	+10
0.705100	H	+10	T	-10
0.833575	T	-10	T	-10
0.397475	H	+10	H	+10
0.151053	H	+10	H	+10
0.925697	T	-10	T	-10
0.928252	T	-10	T	-10
0.481475	H	+10	H	+10
$\sum$	-	+40	-	0

(2,5)

Exercise 2 Consider the triangular random variable X with pdf

$$f(x) = \begin{cases} 0 & \text{if } x < 2a \text{ or } x \geq 2b \\ \frac{x-2a}{(b-a)^2} & \text{if } 2a \leq x < a+b \\ \frac{2b-x}{(b-a)^2} & \text{if } a+b \leq x < 2b \end{cases}$$

1. Derive the corresponding cdf: $F_X(x) = \int_{-\infty}^x f(t) dt$

$$\text{If } x < 2a : F_X(x) = \int_{2a}^x 0 dt = 0$$

$$\text{If } 2a \leq x < a+b : F_X(x) = \int_{2a}^x \frac{t-2a}{(b-a)^2} dt = \frac{(x-2a)^2}{2(b-a)^2}$$

$$\text{If } a+b \leq x < 2b : F_X(x) = \int_{2a}^{a+b} \frac{t-2a}{(b-a)^2} dt + \int_{a+b}^x \frac{2b-t}{(b-a)^2} dt = \frac{1}{2} - \frac{(2b-x)^2}{2(b-a)^2} + \frac{(b-a)^2}{2(b-a)^2}$$

So

$$F_X(x) = \begin{cases} 0 & \text{if } x < 2a \\ \frac{(x-2a)^2}{2(b-a)^2} & \text{if } 2a \leq x < a+b \\ 1 - \frac{(2b-x)^2}{2(b-a)^2} & \text{if } a+b \leq x < 2b \\ 1 & \text{if } x \geq 2b \end{cases} \quad (3.0)$$

2. Simulation of X using the inverse transform method: Let $U \sim \mathcal{U}[0, 1]$

If $0 \leq U < \frac{1}{2}$: $u = \frac{(x-2a)^2}{2(b-a)^2} \Rightarrow x = 2a + (b-a) \sqrt{2u}$.

If $\frac{1}{2} \leq U \leq 1$: $u = 1 - \frac{(2b-x)^2}{2(b-a)^2} \Rightarrow x = 2b + (b-a) \sqrt{2(1-u)}$.

Algorithm

1) Generate $U \sim \mathcal{U}[0, 1]$

2) If $U < \frac{1}{2}$: $X = 2a + (b-a) \sqrt{2u}$, (1,5)

else: $X = 2b + (b-a) \sqrt{2(1-u)}$.

Application: for $a = 1$ and $b = 2$, generate three observations of this variable:

$u_1 = 0.404190 < \frac{1}{2}$, so $X = 2 + \sqrt{2u} = 2.8991$

$u_1 = 0.735378 > \frac{1}{2}$, so $X = 4 - \sqrt{2(1-u)} = 3.2726$

$u_1 = 0.369251 < \frac{1}{2}$, so $X = 2 + \sqrt{2u} = 2.85936$ (1,5)